

Financial management

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- Financial management involves **planning, sourcing, investing, and controlling an organization's financial resources** to maximize shareholder value.
- Key functions include **investment decisions** (capital budgeting), **financing decisions** (capital structure), **dividend policies, working capital management, risk management, and financial reporting**.

Core Functions of Financial Management

- **Investment Decisions (Capital Budgeting):** Determining where to invest funds for long-term growth and high returns while managing risks, ensuring maximum profitability from projects.
- **Financing Decisions (Capital Structure):** Establishing the best mix of debt and equity to minimize the cost of capital and maintain a healthy financial structure.
- **Working Capital Management:** Managing day-to-day liquidity, including managing cash, inventory, receivables, and payables to ensure smooth operations.
- **Dividend Decisions:** Deciding how to allocate net profits—whether to reinvest earnings into the company for expansion or distribute them to shareholders.

Core Functions of Financial

- **Financial Planning and Forecasting:** Projecting future financial needs, sales, and costs to set financial goals for the organization.
- **Financial Control and Analysis:** Monitoring financial performance against budget, evaluating KPIs (e.g., ROI, ROE), and taking corrective actions.
- **Risk Management:** Identifying and mitigating financial risks through hedging and diversification.
- **Cash Management:** Meticulously optimizing cash balances for immediate operational needs and immediate investment opportunities.
- **Regulatory Compliance:** Ensuring compliance with financial regulations, tax laws, and reporting standards.